FAST: Solid revenue growth, margins under cyclical pressure

VALUATION MASTER CLASS

FASTENAL
INDUSTRIAL & CONSTRUCTION SUPPLIES

Shuvai Panosara

panosarashuvai@gmail.com

Please refer to important disclaimer and disclosures at the end of the report.

I initiate coverage of FAST with a SELL recommendation based on a target price of US$37, implying a downside of 19%. I derive the target price from an FCFF-based valuation using a WACC of 7% and a terminal growth of 3%

Highlights:

- FMI expansion to drive Fastenal's revenue growth through 2026-2028
- Massive, fragmented market creates growth runway through 2030
- Manufacturing concentration threatens near-term revenue

Risks: Failure to adopt AI emerging technologies, supply chain and trade policy risk, macroeconomic and customer spending risk, and manufacturing concentration risk.

Valuation table

Year end Dec	24A	25A	26E	27E	28E
PE (x)	45.6	41.8	36.0	35.6	32.9
Recurring net profit growth (%)	(0.4)	9.4	16.2	1.1	8.0
Recurring EPS (US$)	1.0	1.1	1.3	1.3	1.4
Recurring EPS growth (%)	(0.6)	9.2	16.1	1.1	8.0
PBV (x)	14.5	13.3	12.4	11.6	10.8
BVPS (US$)	3.2	3.4	3.7	4.0	4.2
ROE (%)	33.0	33.3	35.7	33.7	34.0
DPS (US$)	0.8	0.9	1.0	1.0	1.1
Dividend yield (%)	1.7	1.9	2.2	2.2	2.4
Enterprise value (US$ m)	52,522	52,426	52,297	52,304	52,251
EV-to-EBITDA (x)	28.2	26.0	22.2	21.7	20.1

Fastenal Company

Recommendation: SELL

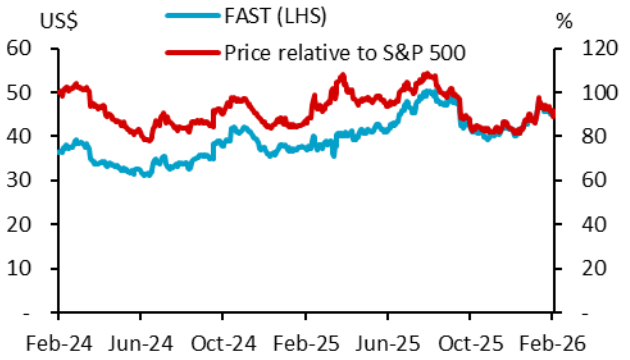
Current price: US$46

Target price: US$37

Up/(downside): (19%)

Stock data

RIC code	FAST.O
Index	.INX
S&P 500 (26 February 2026)	6,908.86
Market cap (US$ m)	52,578
Shares outstanding (million)	1,151
Par (US$)	0.01



Source: Fastenal Investor relation, VMC

FAST: FMI and market fragmentation support long-term revenue

VALUATION MASTER CLASS

FMI expansion to drive Fastenal's revenue growth through 2026-2028

FMI embeds Fastenal directly into customer operations through vending machines and onsite locations, increasing switching costs and securing recurring revenue. This strategy has proven effective, TIKR(March 2026) data shows that revenue grew 85% while branches fell 36%, and installed devices have compounded from 9,000 to 136,600 units in 2025. With 2026 signings targeted at 28,000–30,000 and digital channels approaching 70% of revenue, Fastenal is deepening its customer integration at scale. The addressable market remains largely untapped, with Precedence Research estimating a total opportunity of 1.7 million devices meaning current penetration stands at just 8%. Against this backdrop, I expect FMI to contribute US$300m–US$500m of incremental revenue through 2026–2028.

Massive, fragmented market creates growth runway through 2030

According to Precedence Research, the global industrial distribution market is projected to expand from US$9trn to US$13trn by 2035. The market remains highly fragmented, with no single player holding a dominant share. This fragmentation favors distributors with scale and digital supply models such as Fastenal's FMI platform, allowing the company to capture incremental market share. Fastenal's FMI platform already drives 62% of revenue through digital channels, while high-value sites spending over US$50k per month grew 14%, indicating deeper customer penetration. I expect Fastenal to capture incremental market share as the industry expands, supporting approximately 7-9% revenue growth through 2030.

Manufacturing concentration threatens near-term revenue

Manufacturing accounts for 38% of Fastenal's revenue, making it its largest and most cyclical end market, according to TIKR data from March 2026. While the ISM Manufacturing PMI remains above 50, indicating continued expansion, the pace of growth is moderate and uneven. I expect this to weigh on industrial demand, constraining margins through volume deleverage and limiting the company's ability to outperform expectations, despite continued support from FMI-driven growth.

FASTENAL®

INDUSTRIAL & CONSTRUCTION SUPPLIES

Background: Fastenal Company is a North American distributor of industrial and MRO supplies, with fasteners as its core product. The company operates through a network of branches, distribution centers, and Onsite locations, serving customers across the United States, Canada, Mexico, and more than 25 countries.

Despite its international presence, about 85% of revenue is generated in the United States, reflecting a strong domestic focus.

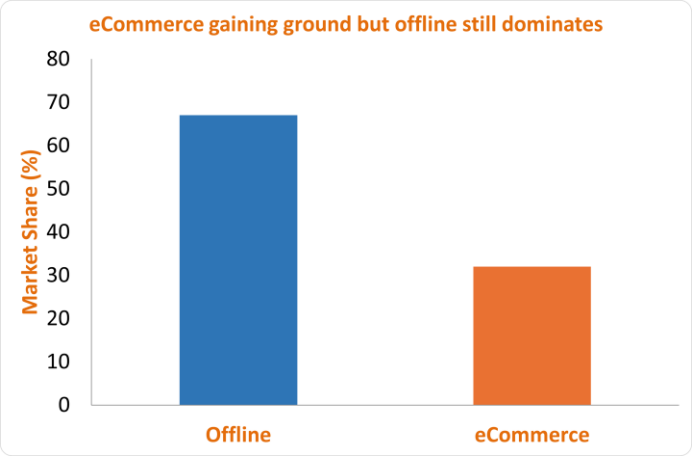
Fastenal differentiates itself through its FMI technology, which places automated inventory systems inside customer facilities, increasing switching costs and generating recurring demand.

.

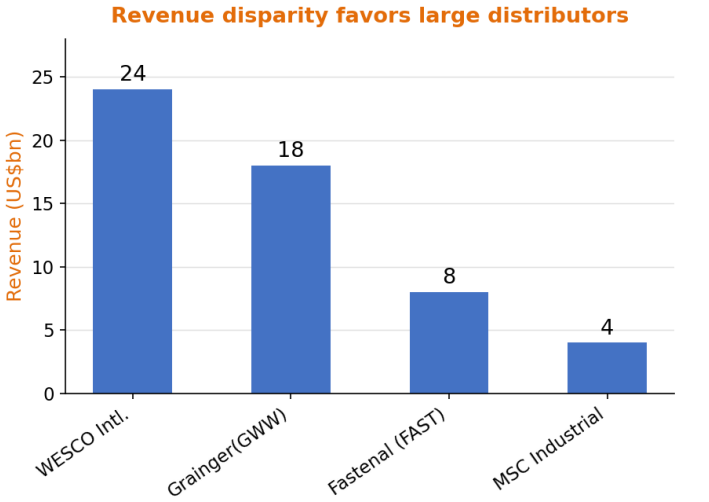
Sources: TIKR (March 2026), ISM ,Fastenal Investor presentation, Precedence Research, Company filings.

Structural growth and fragmentation favor scaled digital leaders.

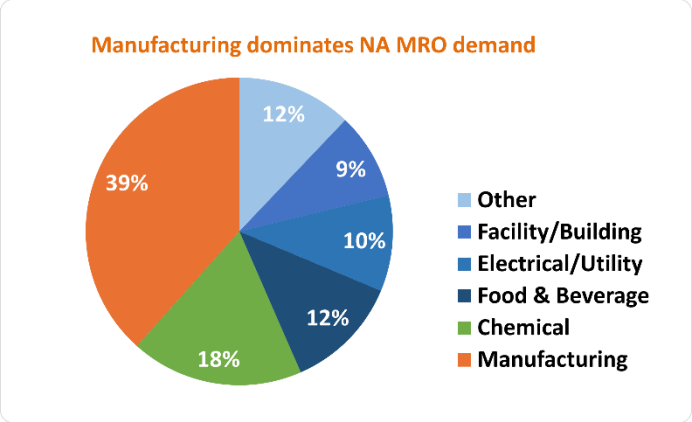
VALUATION MASTER CLASS



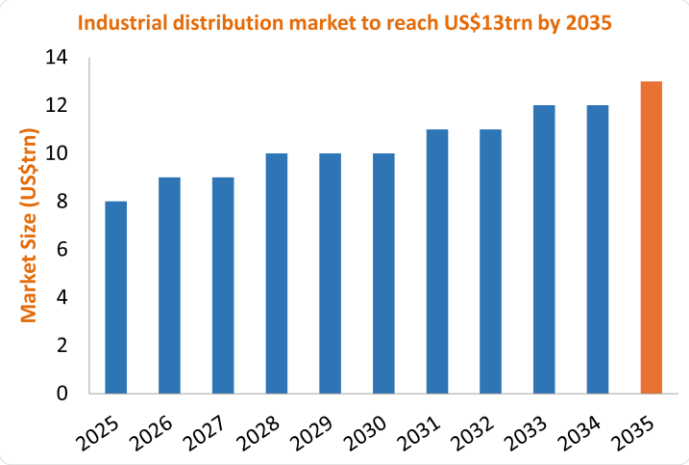
Sources: Precedence Research.



Sources: Company filings; AD Group.



Sources: Fastenal Industry Analysis Research; Company filings.



Sources: Precedence Research; Mordor Intelligence.

Fragmented market structure favors scaled distributors. Driven by supply chain upgrades, the market is projected to grow from **US$9trn** in 2025 to **US$13trn** by 2035 (Precedence Research). Despite its size, the industry remains fragmented, with the top 50 distributors capturing less than 20% of total revenue. Scaled leaders like WESCO (US$24bn in revenue), Grainger (US$18bn), and Fastenal (US$8bn) are positioned to capture outsized growth as the industry matures. Giving scaled leaders structural advantages in national contracts and consolidation opportunities.

Digital procurement is changing how companies compete in the industry. While offline channels still dominate two-thirds of sales, digital transactions now represent 33% and are rising. Distributors integrating digital sales with inventory solutions are securing higher customer retention and repeat business.

Ongoing demand from manufacturers keeps supply consumption steady. Manufacturing accounts for about 39% of North American MRO revenue, ensuring steady demand for supply. Reshoring initiatives and infrastructure investment are expanding production capacity, supporting stable baseline demand for safety, fasteners, and MRO products

Sources:Company filings; AD Group; Precedence Research; Mordor Intelligence; Fastenal Industry Analysis Research.

FAST: Margins under pressure in 4Q25

VALUATION MASTER CLASS

Story

Sales

FVMR

P5F

Team

WCB

ESG

Value

Risks

(US$ m)	4Q24	1Q25	2Q25	3Q25	4Q25	%QoQ	%YoY
Revenue	1,825	1,959	2,080	2,133	2,027	(5.0)	11.1
Cost of sales	(1,006)	(1,076)	(1,138)	(1,168)	(1,129)	(3.3)	12.2
Gross profit	**818**	**884**	**943**	**966**	**899**	**(6.9)**	**9.8**
SG&A	(473)	(490)	(507)	(524)	(514)	(1.9)	8.7
Other (exp)/inc	(0)	(0)	(0)	(0)	(0)	(50.0)	100.0
EBIT	**345**	**394**	**436**	**442**	**384**	**(13.0)**	**11.5**
Finance cost	(2)	(2)	(2)	(2)	(1)	(43.8)	(47.1)
Other inc/(exp)	1	1	3	1	1	71.4	-
Earnings before taxes	**344**	**393**	**437**	**441**	**385**	**(12.7)**	**11.7**
Income tax	(82)	(94)	(106)	(105)	(91)	(13.8)	10.2
Earnings after taxes	**262**	**299**	**330**	**336**	**294**	**(12.4)**	**12.2**
Equity income	-	-	-	-	-	na	na
Minority interest	-	-	-	-	-	na	na
Earnings from cont. operations	**262**	**299**	**330**	**336**	**294**	**(12.4)**	**12.2**
Forex gain/(loss) & unusual items	-	-	-	-	-	nm	nm
Net profit	**262**	**299**	**330**	**336**	**294**	**(12.4)**	**12.2**
EBITDA	434	483	526	532	473	(11.0)	9.2
Recurring EPS (US$)	0.23	0.26	0.29	0.29	0.26	(12.3)	12.1
Reported EPS (US$)	0.23	0.26	0.29	0.29	0.26	(12.4)	12.0
Profits (%)	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**chg QoQ**	**chg YoY**
Gross margin	44.8	45.1	45.3	45.3	44.3	(0.9)	(0.5)
Operating margin	18.9	20.1	21.0	20.7	19.0	(1.7)	0.1
Net margin	14.4	15.2	15.9	15.7	14.5	(1.2)	0.1
ROE	29.1	32.7	35.2	34.8	30.0	(4.8)	0.9
ROIC	29.6	33.2	35.4	35.4	31.0	(4.4)	1.4

Total revenue increased 11% YoY to USD 2,027m, despite a 5% QoQ decline, reflecting seasonal softness and emerging weakness in the manufacturing end market.

EBIT margin fell 13% QoQ, while net margin fell 120bps to 14.5%, indicating margin pressure from volume deleverage.

The margin compression was driven by slowing demand in manufacturing, reflecting the uneven pace of industrial activity.

Latest News

1.Fastenal continues expanding its FMI platform, with over 25,000 device signings in 2025 and a target of 28,000–30,000 in 2026, supporting increased customer integration and recurring revenue growth.

2. Digital and FMI-driven sales continue to grow, with a rising share of revenue coming from vending machines, onsite locations, and eBusiness solutions, reflecting a shift toward more efficient, data-driven distribution.

3. U.S. manufacturing activity, while showing signs of recovery with the ISM PMI returning above 50, remains uneven signaling continued uncertainty in Fastenal's largest end market.

Sources: A. Stotz Investment Research, Refinitiv.

FAST: Consensus estimates

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks

Analyst recommendations	Nov-25	Dec-25	Jan-26	Current
# of recommendations	**18**	**18**	**18**	**18**
1. Strong Buy	4	5	5	5
2. Buy	-	-	-	-
3. Hold	9	8	8	8
4. Sell	3	3	3	3
5. Strong Sell	2	2	2	2
Consensus recommendation	**2.9**	**2.8**	**2.8**	**2.8**

Price target rel. to current price (US$)	Current price	Target price	up/(dn) %
Mean	45.68	44.60	(2.4)

Consensus forecast (%)	25	26E	27E	28E
Revenue growth	8.7	9.5	8.2	6.5
Gross margin	45.0	44.6	44.4	44.4
EBIT margin	20.2	20.6	20.8	21.1
Net margin	15.3	15.6	15.7	15.9

Nearly half of analysts maintain a Hold rating on Fastenal, suggesting a cautious stance among analysts.

The consensus recommendation has remained steady at 2.8, indicating a neutral outlook.

The consensus price target of US$44.60 implies about a 2.4% downside from the current price of US$45.68, suggesting limited upside in the near term.

Revenue growth is expected to moderate from 8.7% in 2025 to around 6.5% by 2028, indicating slower but still positive growth.

Margins are forecast to improve slightly, with EBIT margin reaching about 21% and net margin rising to roughly 15.9% by 2028.

Sources: A. Stotz Investment Research, Refinitiv.

FAST: FMI drives Fastenal's recurring MRO revenue

VALUATION MASTER CLASS

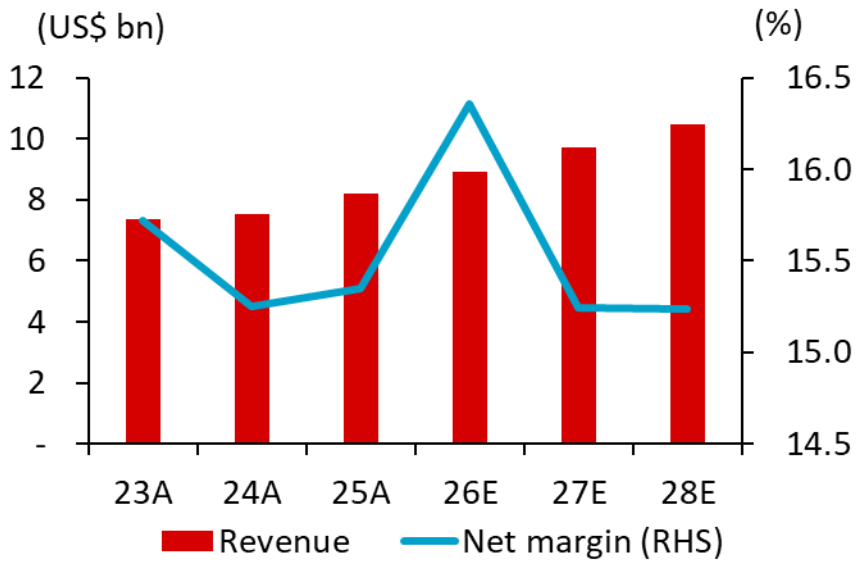
In 2025, Fastenal generated revenue of US$8bn, an increase of 8.7% from US$7.5bn in 2024, supported by strong contract signings and continued expansion of its FMI program. FMI and vending solutions strengthen customer integration and support recurring demand across manufacturing and construction customers.

Fasteners are Fastenal's founding product line, accounting for 31% of 2025 revenue. Though the smallest segment, they remain strategically important, supported by OEM demand and Fastenal's embedded supply model through FMI and onsite solutions.

Safety supplies represented 22% of revenue, supported by strong MRO demand, growth in industrial safety requirements, and increased adoption of Fastenal's vending and data-driven inventory solutions.

Other product lines are the largest segment at **47% of revenue**, including tools, janitorial products, cutting tools, electrical components, welding supplies, and other MRO items.

Geographically, the US represents 83% of revenue (US$6.6bn), with international markets contributing the remaining 17% (US$1.4bn).

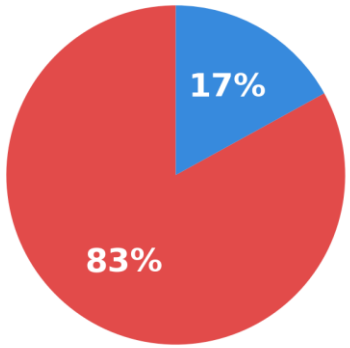


Revenue breakdown, by product segment & Geography 2025

Other products & MRO 47%

Fasteners 31%

Safety supplies 22%



Sources: A. Stotz Investment Research, company data, Refinitiv

FAST: A. Stotz Four Elements

FVMR INVESTING
A. STOTZ INVESTMENT RESEARCH

Rank relative to peers*

Worst — Neutral — Best

Fundamentals

W — B

(%)	Dec-21	Dec-22	Dec-23	Dec-24	PTM**
Operating profit margin	20.3	20.8	20.8	19.9	20.1
Recurring net margin	15.4	15.6	15.7	15.2	15.3
Asset turnover	145.5	157.8	163.1	164.7	162.3
Return on assets	22.4	24.6	25.6	25.1	24.9
Recurring return on equity	32.0	35.0	35.5	33.0	33.5

Valuation

W — B

(x)	Dec-21	Dec-22	Dec-23	Dec-24	PTM**
Price-to-sales	5.7	4.4	6.0	5.9	5.7
Price-to-earnings	37.1	28.6	38.3	38.7	37.5
Price-to-book	11.2	9.7	13.2	12.3	11.8
PE-to-EPS growth (PEG)	4.9	1.6	5.7	nm	6.3
EV/EBIT	28.2	21.4	29.0	29.5	28.4

Momentum

W — B

(%)	Dec-21	Dec-22	Dec-23	Dec-24	PTM**
Revenue growth	6.4	16.1	5.2	2.7	6.9
Recurring EPS growth	5.9	14.2	5.6	(0.5)	5.0
Operating profit margin chg. (bps)	7	56	(6)	(81)	(8)
	6mth	3mth	1mth	3wk	1wk
Price change	(0.1)	(6.0)	(5.9)	(3.0)	(0.5)

Risk

W — B

(x)	Dec-21	Dec-22	Dec-23	Dec-24	PTM**
Current ratio	4.2	4.0	4.6	4.7	4.3
Net debt-to-equity (%)	5.1	10.3	1.2	(1.5)	(2.4)
Times-interest-earned	125.5	101.6	141.2	206.1	223.7
	5yr	3yr	1yr	6mth	3mth
Beta	0.9	0.8	0.6	1.0	0.0

Note: Benchmarking against 1,630 non-financial companies in USA.

Overall: FAST appears attractive relative to 1630 non-financial companies in USA considering Fundamentals, Valuation, Momentum, and Risk.

Fundamentals: Ranked in the **top 10%** of 1630 non-financial companies in the US, supported by strong profitability and improving asset turnover.

Valuation: FAST ranks in the bottom 40% relative to peers, suggesting the company trades at a relatively high valuation, with the P/E of 37.5.

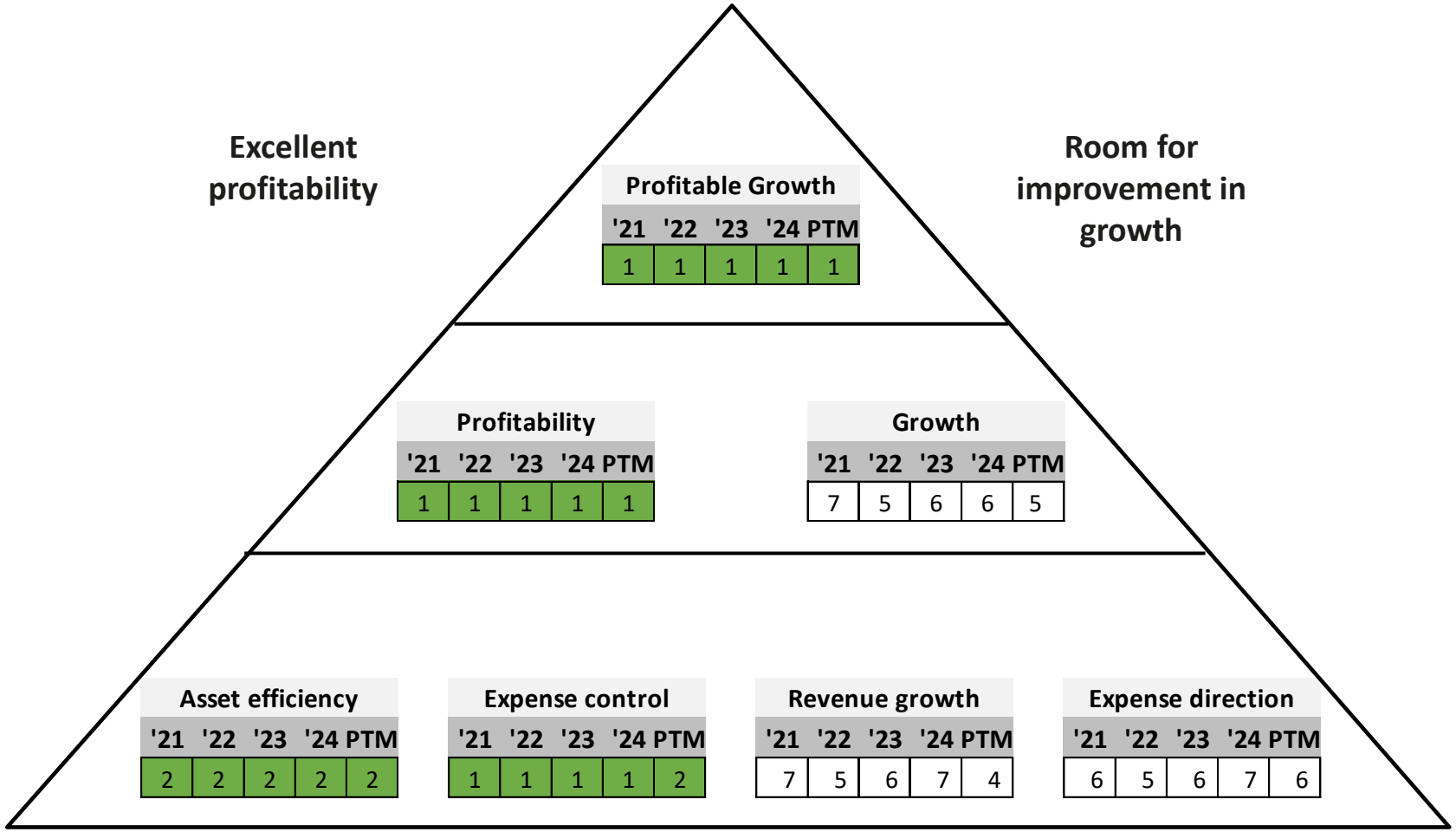
Momentum: Moderately neutral with positive growth but softer margins and price momentum.

Risk: FAST ranks in the top 10% among peers, supported by times interest earned increasing from 125 to 223, and a negative net debt-to-equity ratio indicating a net cash position, and a beta close to zero, suggesting very low-price volatility

Sources: A. Stotz Investment Research, Refinitiv. Notes: *Bars are decile rankings of the most recent period. **Past 12 months of published data. na = not available, nm = not meaningful. Valuation is based on historical prices.

FAST: A. Stotz Profitable Growth

WORLDCLASS BENCHMARKING
A. STOTZ INVESTMENT RESEARCH



Benchmarked against 1,390 large Industrials companies worldwide.

Profitable Growth consistently ranked in the top 10% among 1390 large Industrials companies globally.

Profitability has consistently ranked in the top 10% from 2021 to the PTM period, highlighting Fastenal's strong margins and disciplined cost structure.

Growth, however, shows room for improvement, generally ranking around the middle of the global benchmark, though it improved slightly in the past 12months

Asset efficiency has consistently ranked in the top 20% since 2021, reflecting Fastenal's efficient use of assets to generate sales.

Expense control has also been strong, ranking in the top 10% for most of the period, though it slightly declined to the top 20% in the PTM.

Revenue growth has been inconsistent over the past four years, generally ranking around the middle of the world-class benchmark, though it improved from 7 to 4 in the past twelve months.

Expense direction has been relatively volatile, though it improved slightly from the previous ranking in the PTM period.

Source: A. Stotz Investment Research. Notes: 1 = top ranking and 10 = worst. Most recent year's data is based on the past 12 months (PTM) of published data.

FAST: Profit and loss statement

VALUATION MASTER CLASS

Profit and loss statement (YE Dec, US$ m)	Actual 2023A	2024A	2025A	Forecast 2026E	2027E	2028E	2029E	2030E
Revenue	7,347	7,546	8,201	8,939	9,698	10,474	11,312	12,104
Cost of goods & services	(3,992)	(4,144)	(4,509)	(4,827)	(5,334)	(5,761)	(6,244)	(6,718)
Gross profit	**3,355**	**3,402**	**3,691**	**4,112**	**4,364**	**4,713**	**5,068**	**5,386**
SG&A	(1,826)	(1,892)	(2,036)	(2,190)	(2,425)	(2,619)	(2,828)	(3,026)
Other operating (exp)/inc	-	0	0	0	0	0	0	0
EBIT	**1,529**	**1,510**	**1,656**	**1,922**	**1,940**	**2,095**	**2,240**	**2,360**
Interest expense (net)	(7)	(2)	(1)	2	5	5	6	7
Other non-operating inc/(exp)	-	(0)	-	-	-	-	-	-
Earnings before taxes (EBT)	**1,522**	**1,508**	**1,655**	**1,924**	**1,945**	**2,100**	**2,246**	**2,368**
Income tax	(367)	(358)	(397)	(462)	(467)	(504)	(539)	(568)
Earnings after taxes (EAT)	**1,155**	**1,151**	**1,258**	**1,462**	**1,478**	**1,596**	**1,707**	**1,799**
Equity income/Minority interest	-	-	-	-	-	-	-	-
Earnings from cont. operations	**1,155**	**1,151**	**1,258**	**1,462**	**1,478**	**1,596**	**1,707**	**1,799**
Forex/Exceptionals before tax	-	-	-	-	-	-	-	-
Net profit	**1,155**	**1,151**	**1,258**	**1,462**	**1,478**	**1,596**	**1,707**	**1,799**
Earnings per share adj.								
Net profit	**1,155**	**1,151**	**1,258**	**1,462**	**1,478**	**1,596**	**1,707**	**1,799**
Less: Pref. share dividend & other adj.	-	-	-	-	-	-	-	-
Proft attributable to common shares	**1,155**	**1,151**	**1,258**	**1,462**	**1,478**	**1,596**	**1,707**	**1,799**
Add: Exceptional items after tax	-	-	-	-	-	-	-	-
Add: Forex loss/(gain) after tax	-	-	-	-	-	-	-	-
Recurring profit after tax	**1,155**	**1,151**	**1,258**	**1,462**	**1,478**	**1,596**	**1,707**	**1,799**
Recurring FDEPS (US$)	1.0	1.0	1.1	1.3	1.3	1.4	1.5	1.6

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Balance sheet - Assets

VALUATION MASTER CLASS

	Actual			Forecast				
(YE Dec, US$ m)	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Cash & short-term investments	221	256	277	375	349	387	416	474
Accounts receivable	1,088	1,109	1,245	1,316	1,428	1,542	1,665	1,782
Inventories	1,523	1,645	1,748	1,850	2,045	2,208	2,394	2,575
Other current assets	189	203	202	223	242	262	283	303
Total current assets	**3,021**	**3,212**	**3,472**	**3,765**	**4,064**	**4,399**	**4,758**	**5,134**
Long-term investments	-	-	-	-	-	-	-	-
Net fixed assets	1,281	1,336	1,441	1,505	1,573	1,638	1,714	1,794
Intangible assets	0	0	0	-	-	-	-	-
Goodwill	-	-	-	-	-	-	-	-
Other long-term assets	161	150	140	137	135	132	129	127
Total assets	**4,463**	**4,698**	**5,053**	**5,407**	**5,772**	**6,169**	**6,601**	**7,055**

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Balance sheet - Liabilities and equity

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks

	Actual			Forecast				
(YE Dec, US$ m)	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Overdrafts & short-term loans	60	75	25	23	19	15	12	10
Accounts payable	505	513	582	644	696	752	815	877
Other current liabilities	96	99	109	116	126	136	147	157
Total current liabilities	**661**	**687**	**716**	**783**	**841**	**903**	**974**	**1,044**
Long-term debt	200	125	100	70	56	45	36	29
Other long-term liabilities	253	270	294	314	336	360	385	412
Total liabilities	**1,114**	**1,082**	**1,109**	**1,168**	**1,234**	**1,308**	**1,395**	**1,485**
Minority interest	-	-	-	-	-	-	-	-
Paid-up capital - Common shares	47	94	127	127	127	127	127	127
Paid-up capital - Preferred shares	-	-	-	-	-	-	-	-
Retained earnings	3,357	3,614	3,868	4,163	4,462	4,785	5,130	5,494
Revaluation/Forex/Others	(55)	(92)	(51)	(51)	(51)	(51)	(51)	(51)
Total equity	**3,349**	**3,616**	**3,944**	**4,239**	**4,538**	**4,861**	**5,206**	**5,570**
Total liab & shareholders' equity	**4,463**	**4,698**	**5,053**	**5,407**	**5,772**	**6,169**	**6,601**	**7,055**
Book value per share adj.								
Total Equity	3,349	3,616	3,944	4,239	4,538	4,861	5,206	5,570
Less: Pref. shareholders' equity	-	-	-	-	-	-	-	-
Less: Hybrid debt & others	-	(0)	-	-	-	-	-	-
Common shareholders' equity	**3,349**	**3,616**	**3,944**	**4,239**	**4,538**	**4,861**	**5,206**	**5,570**
BVPS (US$)	2.9	3.2	3	4	4	4.2	4.5	4.9

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Balance sheet - Cash flow statement

VALUATION MASTER CLASS

	Actual			Forecast				
(YE Dec, US$ m)	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Net income	1,155	1,151	1,258	1,462	1,478	1,596	1,707	1,799
Depreciation & amortization	355	351	358	437	471	505	540	577
Calculated chg in net working capital	108	(146)	(161)	(125)	(263)	(231)	(256)	(246)
Other non-cash & balancing items	(185)	(182)	(160)	(262)	(290)	(319)	(349)	(380)
Operating cash flow	**1,433**	**1,173**	**1,296**	**1,512**	**1,396**	**1,550**	**1,643**	**1,751**
Capital expenditures	(161)	(214)	(231)	(239)	(248)	(250)	(267)	(278)
(Inc)/dec in other investments	(1)	(0)	(1)	3	3	3	3	3
Investing cash flow	**(161)**	**(215)**	**(231)**	**(236)**	**(246)**	**(247)**	**(265)**	**(276)**
Increase/(dec) in debt	(295)	(60)	(75)	(31)	(19)	(15)	(12)	(10)
Dividend paid	(1,017)	(893)	(1,004)	(1,166)	(1,179)	(1,273)	(1,362)	(1,436)
Change in equity	30	40	24	-	-	-	-	-
Others	-	(0)	-	21	22	24	25	27
Financing cash flow	**(1,282)**	**(914)**	**(1,055)**	**(1,177)**	**(1,176)**	**(1,265)**	**(1,349)**	**(1,418)**
Net inc/(dec) in cash & cash equi	**(10)**	**45**	**10**	**98**	**(26)**	**38**	**29**	**58**
Beginning cash	230	221	256	277	375	349	387	416
Adjustment for historic data	1	(11)	11	(0)	0	(0)	(0)	0
Ending cash	**221**	**256**	**277**	**375**	**349**	**387**	**416**	**474**

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Ratios

VALUATION MASTER CLASS

Story

Sales

FVMR

P5F

Team

WCB

ESG

Value

Risks

	Actual			Forecast			Recent quarters		
(YE Dec)	2023A	2024A	2025A	2026E	2027E	2028E	Jun '25	Sep '25	Dec '25
Internal liquidity (x)									
Current ratio	4.6	4.7	4.9	4.8	4.8	4.9	4.2	4.3	4.9
Quick, or acid test ratio	2.3	2.3	2.4	2.4	2.4	2.4	2.1	2.2	2.4
Working cap. mgmt (Days)									
Inventory conversion period	146	138	135	134	131	133	135	133	138
Receivables collection period	51	52	52	52	51	51	56	56	58
Days from raw mat to coll	197	190	187	186	182	184	191	189	196
Payables deferral period	45	44	44	46	45	45	45	46	47
Cash conversion cycle	152	146	143	140	137	139	146	144	149
Profitability ratios (%)									
Gross profit margin	45.7	45.1	45.0	46.0	45.0	45.0	45.3	45.3	44.3
EBIT margin	20.8	20.0	20.2	21.5	20.0	20.0	21.0	20.7	19.0
EBIT return on avg assets	33.9	33.0	34.0	36.7	34.7	35.1	35.3	34.9	30.2
Return on average assets	25.6	25.1	25.8	28.0	26.4	26.7	26.7	26.5	23.1
Financial risk (x)									
Liabilities-to-assets (%)	25.0	23.0	22.0	21.6	21.4	21.2	24.1	23.9	22.0
Debt-to-equity	0.1	0.1	0.0	0.0	0.0	0.0	0.1	0.1	0.0
Net debt-to-equity	0.0	(0.0)	(0.0)	(0.1)	(0.1)	(0.1)	(0.0)	(0.0)	(0.0)
Times-interest-earned	174	255	325	616	893	1,203	239	332	526
Effective interest rate (%)	2.7	3.2	3.8	3.5	3.2	3.2	4.1	3.0	2.3

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Ratios (continued)

VALUATION MASTER CLASS

	Actual			Forecast			Recent quarters		
(YE Dec)	2023A	2024A	2025A	2026E	2027E	2028E	Jun '25	Sep '25	Dec '25
General growth (YoY, %)									
Revenue	5.2	2.7	8.7	9.0	8.5	8.0	8.6	11.7	11.1
Assets	(1.9)	5.3	7.6	7.0	6.7	6.9	9.0	8.0	7.6
Gross profit	4.3	1.4	8.5	11.4	6.1	8.0	9.2	12.5	9.8
Operating profit	5.2	(1.2)	9.6	16.1	0.9	8.0	12.7	13.8	11.5
Attributable profit	6.3	(0.4)	9.4	16.2	1.1	8.0	12.8	12.5	12.2
EPS	6.6	(0.6)	9.2	16.1	1.1	8.0	12.6	12.3	12.0
Recurring EPS	6.8	(0.6)	9.2	16.1	1.1	8.0	12.7	12.3	12.1
Du Pont analysis (%)									
Net profit margin	15.7	15.2	15.3	16.4	15.2	15.2	15.9	15.7	14.5
Revenue per US$100 of assets	163.1	164.7	168.2	170.9	173.5	175.4	168.3	168.4	159.5
Assets/equity (x)	1.4	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Return on equity	35.5	33.0	33.3	35.7	33.7	34.0	35.2	34.8	30.0
Others (%)									
Effective tax rate	24.1	23.7	24.0	24.0	24.0	24.0	24.3	23.9	23.6
Dividend payout ratio	69.3	78.0	80.7	80.3	80.5	79.9	75.9	75.9	84.6

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Free cash flow data

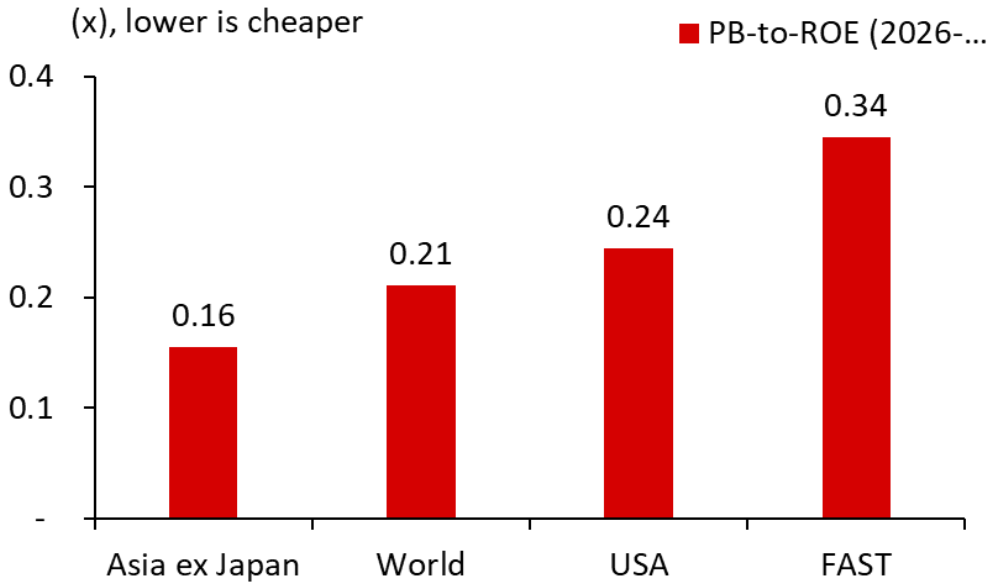
VALUATION MASTER CLASS

	Actual			Forecast					Fade period*	
(YE Dec, US$ m)	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**
EBIT	1,529	1,510	1,656	1,922	1,940	2,095	2,240	2,360	2,498	2,627
Est tax rate (%)	*24*	*24*	*24*	*24*	*24*	*24*	*24*	*24*	*24*	*24*
NOPAT	**1,160**	**1,152**	**1,259**	**1,461**	**1,474**	**1,592**	**1,702**	**1,794**	**1,898**	**1,996**
Add: Depre & amort	355	351	358	437	471	505	540	577	613	649
Cash NOPAT	**1,515**	**1,503**	**1,617**	**1,898**	**1,945**	**2,097**	**2,242**	**2,371**	**2,511**	**2,646**
Chg in A/R	(74)	(21)	(137)	(71)	(112)	(114)	(123)	(117)		
Chg in inventory	185	(122)	(103)	(102)	(194)	(164)	(185)	(181)		
Chg in oth curr asst	(16)	(13)	1	(21)	(19)	(19)	(21)	(20)		
Chg in A/P	9	8	68	62	53	56	63	62		
Chg in oth curr liabs	4	3	10	7	10	10	11	10		
Less: Chg in work cap	**108**	**(146)**	**(161)**	**(125)**	**(263)**	**(231)**	**(256)**	**(246)**		
Less: CAPEX	(161)	(214)	(231)	(239)	(248)	(250)	(267)	(278)		
Less: Chg in invest cap									(556)	(589)
FCF to firm	**1,462**	**1,143**	**1,226**	**1,533**	**1,434**	**1,616**	**1,719**	**1,847**	**1,955**	**2,056**
FCF to equity	**1,159**	**1,077**	**1,146**	**1,499**	**1,413**	**1,599**	**1,706**	**1,837**	**1,956**	**2,058**
FCF per share (US$)	*1.3*	*1.0*	*1.1*	*1.3*	*1.2*	*1.4*	*1.5*	*1.6*	*1.7*	*1.8*
NOPAT growth (%)	*5.7*	*(0.7)*	*9.3*	*16.0*	*0.9*	*8.0*	*6.9*	*5.4*	*5.8*	*5.2*
FCF growth (%)	*49.3*	*(21.8)*	*7.3*	*25.1*	*(6.5)*	*12.7*	*6.4*	*7.4*	*5.8*	*5.2*

Sources: A. Stotz Investment Research, company data, Refinitiv.
Note: *Shows the two first years of the fade period.

FAST: Relative valuation

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks



PB ratio (x)	2024A	2025A	2026E	2027E
FAST	12.0	13.3	12.4	11.5
USA	7.9	7.6	6.9	6.2
Asia ex Japan	2.0	1.9	1.8	1.6
World	4.5	4.3	3.9	3.4
ROE (%)				
FAST	33.0	33.3	35.7	35.0
USA	23.0	23.8	26.3	27.4
Asia ex Japan	7.9	9.9	10.7	11.3
World	15.7	16.2	17.5	17.5

On the forward 2027E P/B multiple, Fastenal looks expensive compared to the Capital Goods sector in the US, Asia ex Japan, and globally, at 11.5x, compared to 6.2x for the US sector and 3.4x globally.

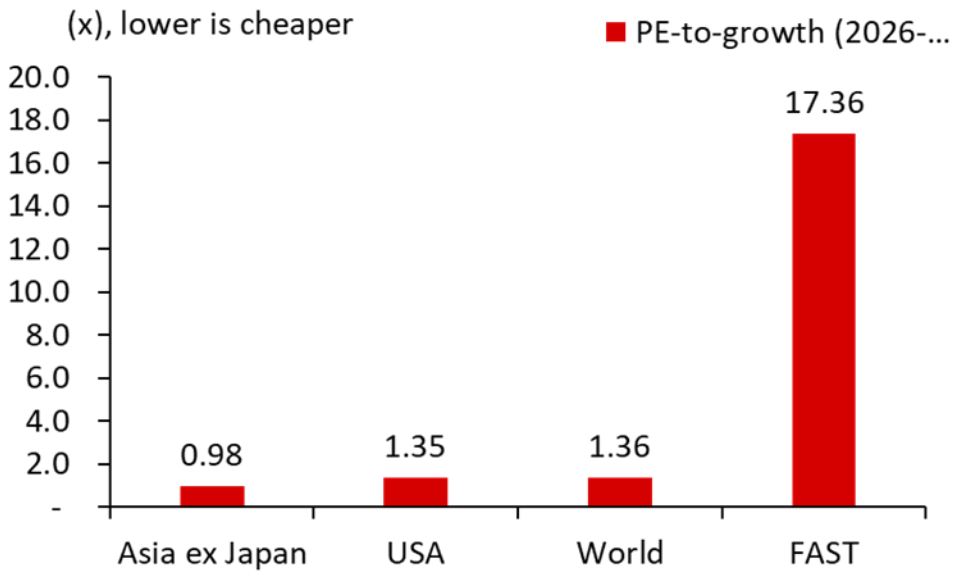
I forecast its return on equity (ROE) to be around 35% in 2027E, which is significantly higher than the sector average of 27.4% in the US and 17.5% globally.

Despite its superior ROE, Fastenal's PB-to-ROE ratio of 0.34x is well above the US sector at 0.24x and the global average at 0.21x, suggesting the premium is not fully justified by returns alone.

Sources: A. Stotz Investment Research, Refinitiv

FAST: Relative valuation

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks



PE ratio (x)	2024A	2025A	2026E	2027E
FAST	37.8	41.8	36.0	35.6
USA	35.0	32.0	26.4	22.8
Asia ex Japan	25.7	19.8	16.8	14.7
World	29.0	26.5	22.7	19.8
EPS growth (%)				
FAST	(0.6)	9.2	16.1	1.1
USA	(8.3)	9.5	21.2	15.7
Asia ex Japan	(1.3)	29.9	18.0	14.4
World	1.6	9.3	17.1	14.2

On the forward 2027E PE multiple, Fastenal trades at a premium to the Capital Goods sector across the US, Asia ex Japan, and globally, at 35.6x compared to 22.8x for the US sector and 19.8x globally.

I forecast EPS growth of just 1.1% in 2027E, significantly below peer averages of 15.7% in the US and 14.2% globally.

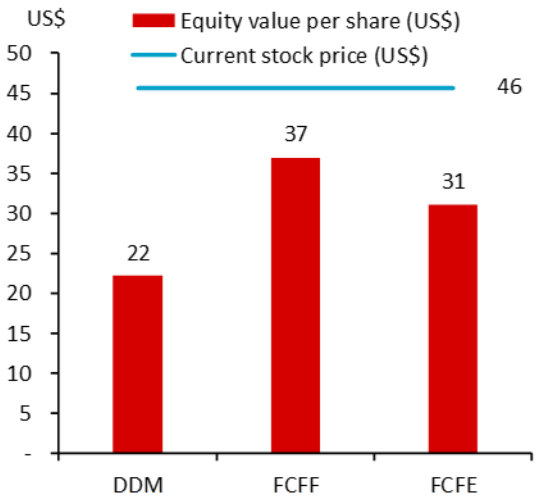
On a 2027E PEG basis, Fastenal trades at 17.4x, more than 12 times the US sector average of 1.4x indicating the stock is significantly expensive relative to its growth profile.

Sources: A. Stotz Investment Research, Refinitiv

FAST: Valuation and target price

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks

Calculation of cost of equity (COE, %)	Estimate
Market: United States of America	
Market risk-free rate	3.0
Market equity risk premium	7.0
Market return	**10.0**
Company beta (x)	0.8
COE	**8.3**
Calculation of WACC	**Average**
Cost of debt	3.4
Average tax rate	24.0
After tax cost of debt	**2.6**
Cost of preferred stock	**-**
Debt as a % of total capital	20.0
Preferred stock as a % of total capital	-
Equity market value as a % of total capital	80.0
Weighted average cost of capital	**7.1**



FAST: Valuation (US$ m)	DDM	%	FCFF	%	FCFE	%
PV of cash flow in years 2026-30	5,058	20	6,409	15	6,329	18
PV of fade period	7,913	31	11,471	27	9,810	27
PV of terminal value	12,493	49	24,463	58	19,357	54
Present value of future cash flows	**25,464**	**100**	**42,343**	**100**	**35,497**	**99**
Add: Cash & ST investments	na*	-	277	1	277	1
Add: Long-term investments	na	-	-	-	-	-
Corporate value	**25,464**	**100**	**42,620**	**100**	**35,773**	**100**
Less: Total debt, preferred stock & minorities	na	-	(125)	(0)	na	-
Shareholder value	**25,464**	**100**	**42,495**	**100**	**35,773**	**100**
Number of shares (m)	1,151		1,151		1,151	
Equity value per share (US$)	**22**		**37**		**31**	

I assume a risk-free rate of 3% and a market equity risk premium of 7% for the U.S. market. Given Fastenal's historically low volatility, I use a beta of 0.8, resulting in a cost of equity of 8.3%.

I forecast a capital structure with approximately 20% debt and 80% equity, which is consistent with the company's stable and conservative financing profile. As the forecast extends into perpetuity, I assume the company will maintain a balanced capital structure, using a moderate level of debt to support long-term operations and growth. This results in a WACC of 7%.

I use a terminal growth rate of 3%, reflecting long-term economic growth and Fastenal's exposure to a large, fragmented industrial market. I apply the FCFF methodology, as it captures the value of the entire firm and is appropriate given potential changes in capital structure over time.

In my base case, I estimate an equity value of approximately US$37 per share, implying a 19% downside relative to the current market price.

The sensitivity analysis (on the next page) shows that valuation is most sensitive to terminal growth, with smaller impacts from margins, discount rate, and revenue growth.

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Sensitivity analysis

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks

	Fundamentals (%, five year-average)			Valuation (US$)				
	EPS growth	Net margin	ROE	DDM	FCFF	FCFE	PEG	PB/ROE
What if sales growth changed by X% from base case?								
+10 (8.9%)	nm	15.4	34.8	23.5	38.0	32.0	76.7	32.8
Base case of 8.1%	nm	15.4	34.1	22.1	36.9	31.1	68.8	32.4
-10 (7.3%)	nm	15.4	33.5	20.8	35.9	30.2	60.9	32.0
What if gross margin changed by X percentage points from base case?								
+2 (47.1%)	nm	16.9	37.0	24.6	38.0	32.1	123.4	35.6
Base case of 45.1%	nm	15.4	34.1	22.1	36.9	31.1	68.8	32.4
-2 (43.1%)	nm	13.8	31.2	19.6	35.8	30.1	20.5	29.2
What if discount rate changed, by changing the risk factor (beta) from base case?								
+10 (Beta 0.825x, COE 8.8%)				20.1	34.7	28.8		
Base case of 0.75x (COE 8.3%)				22.1	36.9	31.1		
-10 (Beta 0.675x, COE 7.7%)				24.7	39.5	33.7		
What if terminal growth rate changed by X percentage points from base case?								
+1				25.4	46.4	38.6		
Base case of 3%				22.1	36.9	31.1		
-1				19.9	31.6	26.9		

Sources: A. Stotz Investment Research, company data, Refinitiv.

FAST: Manufacturing exposure drives margin risk

VALUATION MASTER CLASS

Story
Sales
FVMR
P5F
Team
WCB
ESG
Value
Risks

Failure to adopt AI emerging technologies

Fastenal's growth increasingly depends on its FMI digital platform. If competitors leverage AI and advanced analytics more effectively in supply chain and customer solutions, Fastenal may lose its competitive advantage, potentially limiting its ability to sustain the forecasted 7-9% revenue growth through 2030.

Supply chain and trade policy risk

Fastenal relies heavily on imported products, particularly from Asia. Disruptions from tariffs, trade restrictions, or geopolitical tensions could increase sourcing costs and pressure margins, especially given limited short-term flexibility to adjust supply chains.

Manufacturing concentration risk

With 38% of revenue exposed to manufacturing, Fastenal is highly sensitive to industrial cycles. The recent ISM contraction signals weaker demand, which could lead to volume deleverage and margin compression, even if revenue growth remains positive.

Macroeconomic and customer spending risk

Fastenal's sales depend on customer spending in industrial production and maintenance. A slowdown in economic activity, higher interest rates, or reduced business confidence could lower demand, negatively impacting revenue and profitability.

Source: Fastenal 10-K (2025); ISM Manufacturing Index (2026)

GENERAL DISCLAIMER

VALUATION MASTER CLASS by A. Stotz INVESTMENT RESEARCH

- This report is for information purposes only
- This report should not be viewed as an offer or solicitation for subscription, purchase, or sale of the security(ies) referred to herein
- While we have taken measures to ensure factual information shared in this report, we cannot guarantee its accuracy or completeness and therefore should not be acted upon without first independently validating its contents
- Any views contained in this report are subject to change without prior notice. Consequently, no warranty whatsoever is given and no liability whatsoever is accepted for any loss incurred directly or indirectly as a result of acting on such information or report